

Third, by having a vacation home that will become your residence when you retire, you ease the transition to retired life. One of the most stressful parts of very early retirement—or any other retirement—is moving. By setting up your retirement home now, you avoid that stress later on.

Fourth, if real estate *does* take off again, you'll have a piece of the action. I think the action in lower-cost vacation homes may be particularly good. Baby boomers have already driven up prices on first homes; prices on vacation homes could go up next. We've already seen price rises in "close in" vacation areas: Cape Cod, near Boston; eastern Long Island, near New York; Lake Tahoe, near San Francisco. For younger baby boomers, prices in those areas are already out of range. Younger baby boomers will have to buy lower-cost vacation homes, farther away from urban centers. The increased demand could drive up prices in those areas.

If my theory about a coming boom in lower-cost vacation homes is correct, when you're ready to retire you may find your vacation home is worth, say, \$200,000 or more. That'll be a pleasant surprise. But that's far too much money to have tied up in your retirement home. You already know what to do: sell, put your equity in the bank, and head to one of the low-cost areas mentioned in chapter 5. At least some of those areas are bound to be unaffected by housing booms elsewhere.

The second killer under the control-your-spending rule is car expense. Can you get by without a second car? Without recreational vehicles? With a modest station car as your second car? Remember that, although you need a way to get around, you can live without a car that's a pricey yuppie status symbol. If you need to entertain someone or want to make a scene, rent a limousine with a driver for the evening. You'll have fun. And you'll pay far less than the \$40,000 you'd have to spend to own the luxury car.